

IP Exchange Tool

Monetisation Strategy: A Freemium & Premium Model for Scale

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Executive Summary

The IP Exchange Tool connects patent-holding innovators with organisations seeking to acquire intellectual property, using AI-driven similarity search and admin-verified transactions. The platform will launch in its base phase with **no monetisation**, in order to prioritise supply-side liquidity (verified listings) and demand-side trust (search quality, deal completion) before introducing any paywall.

This document proposes a **two-sided freemium model**, layered with a **success-fee revenue stream**, to be introduced once the platform reaches sustained weekly-active usage. The strategy is designed to monetise *value delivered*, not access — free users retain a genuinely usable product, while premium tiers unlock scale, speed, and visibility for users who are actively transacting.

Key recommendation: Sequence monetisation in three phases — (1) free-for-all launch, (2) success-fee-only on closed deals, (3) full premium subscription tiers — so that revenue is introduced only once usage data justifies where the paywall should sit.

1. Strategic Context

1.1 Why monetisation is deferred at launch

A patent marketplace exhibits classic two-sided network effects: organisations will not pay to search a thin catalogue, and innovators will not pay to list on a platform with no buyer traffic. Introducing pricing before either side reaches critical mass would suppress the exact activity the platform needs to prove its value proposition.

1.2 Why monetisation matters once scaled

Once the platform sustains meaningful listing and search volume, monetisation serves two purposes beyond direct revenue:

- **Signal quality** — a willingness to pay for visibility or priority naturally filters for serious innovators and organisations, improving the average quality of listings and enquiries.
- **Funds platform trust infrastructure** — verification, dispute handling, and e-signature integration all carry real operating cost as volume grows; recurring revenue should fund this rather than one-off grants or personal investment.

2. Customer Segments and Value Drivers

The platform serves two distinct customer segments whose willingness to pay is driven by different needs. Monetisation design should treat them as separate product lines rather than a single blanket subscription.

Segment	Primary value sought	What justifies payment
Innovators (patent sellers)	Visibility, credibility, faster path to a closed deal	Being seen by more, and better-matched, organisations
Organisations (patent buyers)	Discovery quality, early access, deal throughput	Seeing more, seeing first, and moving faster to contact

3. Proposed Tier Structure

3.1 Innovator Plans

Feature	Free	Premium
Active patent listings	Up to 2	Unlimited
AI-generated summary	Generated once per patent	Editable and regenerable on demand
Document verification	Standard queue	Priority (fast-track) review
Search ranking	Standard relevance ordering	Boosted placement in matching results
Analytics	Basic view count	Full funnel: views, clicks, enquiries, conversion
Deal support	Self-service	Guided negotiation and document checklist

3.2 Organisation Plans

Feature	Free	Premium
Searches per month	Capped (illustrative: 20)	Unlimited
Result depth	Top 5 matches, summary only	Full ranked results with similarity scoring
Watchlists	Up to 3 patents	Unlimited, with new-match alerts
Concurrent active deals	1	Unlimited
Early access to new listings	Not available	48-hour early access window

4. Revenue Model

Monetisation is deliberately layered across four mechanisms, rather than relying on a single subscription line. This spreads revenue risk and lets each mechanism target a different willingness-to-pay moment in the user journey.

Revenue stream	Mechanism	Rationale
Subscription (SaaS)	Monthly/annual premium plan, either segment	Predictable, recurring base revenue
Success fee	Small percentage of transaction value, charged only on a closed (sold) deal	Contingent and low-friction; aligns platform incentives directly with successful outcomes
Boosted listings	One-off paid visibility boost for a single patent, available even to free-tier innovators	Captures spend from users unwilling to commit to a full subscription
Verification fast-track	One-off fee to expedite admin document review	Monetises urgency without gating the core free workflow

The success fee is expected to become the dominant revenue line at scale, since it grows in direct proportion to platform-facilitated transaction value rather than seat count.

5. Illustrative Pricing (For Validation)

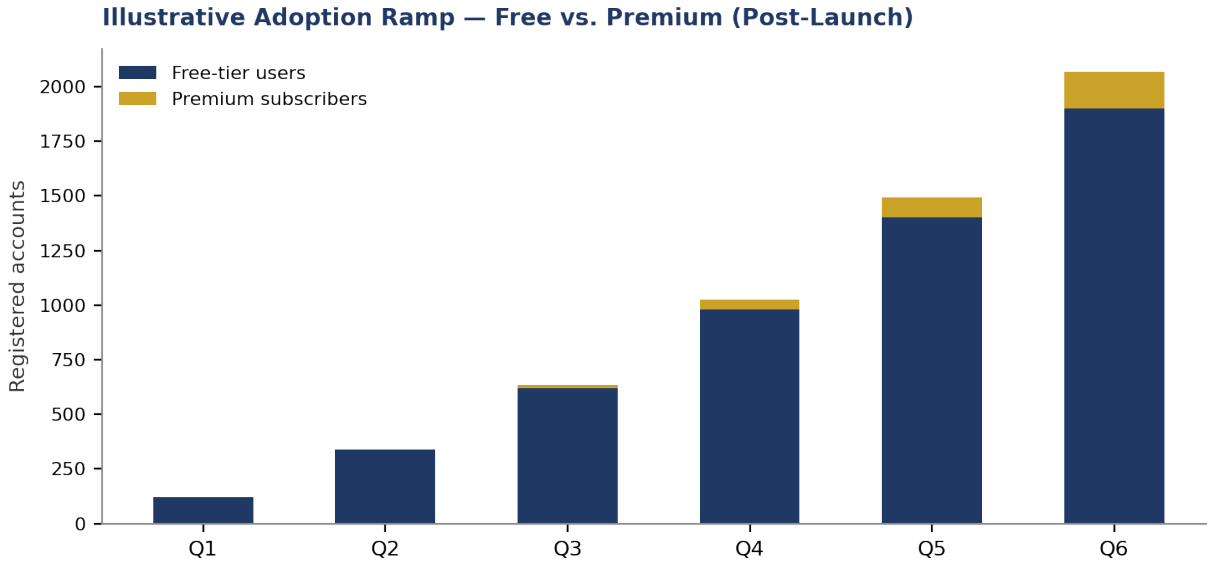
The figures below are starting reference points only, intended to seed internal discussion and market validation — not final pricing.

Plan	Suggested price (illustrative)	Billing
Innovator — Premium	₹999 / month	Monthly or annual (with discount)
Organisation — Premium	₹4,999 / month	Monthly or annual (with discount)
Success fee	1.5%–3% of disclosed deal value	Charged on deal closure
Boosted listing	₹499 per listing / 14 days	One-off
Verification fast-track	₹299 per patent	One-off

Final pricing should be validated against comparable IP marketplaces and adjusted based on early free-tier usage patterns (see Section 7).

6. Adoption and Revenue Outlook

The chart below illustrates a hypothetical adoption ramp under the proposed model, for planning purposes only. Actual figures will depend on listing volume, search quality, and deal conversion rates observed post-launch.



Premium adoption is modelled to begin only from Quarter 3 onward, consistent with the phased rollout in Section 8 — monetisation is introduced after, not before, the platform demonstrates organic usage.

7. Implementation Requirements

Introducing monetisation requires the following additions to the existing platform architecture:

- **Billing & Entitlement module** — tracks each account's plan, feature flags, and usage counters (searches this month, active listings, etc.), checked at the API gateway layer before a request reaches the relevant service.
- **Payment gateway integration** — Razorpay or Cashfree are recommended over international providers for stronger UPI and net-banking support within India, and simpler regulatory compliance.
- **Usage metering** — request-level counters stored in Postgres or Redis, reset on each billing cycle.
- **Success-fee hook** — the Deal & Signing Service must trigger an invoice event when a deal transitions to sold, using the disclosed deal value as the fee base.

8. Phased Rollout Plan

Phase	Trigger to advance	What is introduced
Phase 1 — Free launch	Platform live	No monetisation. Focus entirely on listing supply and search/match quality.
Phase 2 — Success fee only	Consistent weekly closed deals	Introduce the success fee on closed deals only. Lowest-friction revenue, no impact on free usage.
Phase 3 — Premium tiers	Clear usage-cap signal from data (see below)	Introduce subscription tiers, boosted listings, and fast-track verification.

Note on setting free-tier caps: rather than fixing limits (e.g. “20 searches/month”) upfront, instrument usage from day one and set the caps at the point where real usage data shows users hitting a ceiling. This ensures the free tier stays genuinely useful while premium sells real, evidenced scarcity.

9. Risks and Mitigations

Risk	Mitigation
Charging too early suppresses the network effect the platform depends on Success fee discourages deal disclosure (parties settle off-platform)	Strict phase gating (Section 8); no premium tier before Phase 3 Keep the fee low (1.5–3%) and tie premium features (verification, e-signature, escrow-style oversight) to on-platform closure, making off-platform settlement riskier for both sides
Free tier too generous, premium has no pull	Set caps from real usage data, not guesswork (Section 8)
Free tier too restrictive, kills early adoption	Launch Phase 1 fully free with no caps at all; introduce caps only alongside Phase 3

10. Recommendation and Next Steps

We recommend proceeding with the phased model outlined above, with the following immediate next steps:

1. Launch Phase 1 with usage analytics instrumented from day one (view counts, search counts, listing counts per user).
2. Define the exact success-fee percentage and disclosed-deal-value mechanism ahead of Phase 2, in consultation with legal/compliance on patent-sale fee structures in India.
3. Revisit this document once four to six weeks of Phase 1 usage data is available, to replace illustrative caps and pricing with evidence-based figures.